

to \$110, because the former represents a 100 percent price increase while the latter is only a 10 percent price increase. What would look the same on a logarithmic scale, however, is a move from \$10 to \$20 and a move from \$100 to \$200. Logarithmic price scales are useful in comparing percent price changes over time, as well as compressing data of widely different values into one chart.

We can also compare these indices to bitcoin by calculating the compound annual growth rates, or the annual appreciation year-over-year. In this comparison, the post-crisis bull market performance is clear, as the S&P 500 provided nearly 15 percent compound annual returns, 50 percent better than the average 9.5 percent it provided investors in the 88 years between 1928 and 2016.⁵ [Figure 7.2](#) shows that in spite of the excellent performance of U.S. stock markets, bitcoin was a clear standout in this eight-year period with compound annual returns of 332 percent.